

THE BUSINESS OPPORTUNITY

Given the size of foreign banks, one would assume that they would choose to work with only the biggest players of India Inc. But, given the progress—in terms of business volume, reach and growth—of some home-grown mid-sized companies, the lenders have started looking at the MSME space as a huge business opportunity.

“Providing innovative trade finance solutions for MSMEs, thereby bolstering growth in this segment, is another focus area [of Deutsche Bank India],” says Shaparia. For a foreign bank, a typical MSME would not be one that fits in the traditional definition of such entities. In fact, they would be much bigger, next only to A-listers in size. “Over the last three years, we have expanded our commercial banking business to serve local mid-cap companies in India, and we believe this business will scale significantly,” says JPMorgan’s Kalyan. In a similar context, Citi’s Khullar says that he expects the bank to expand its commercial banking practice by growing its client base by 50 per cent, by 2025. “More players are trying to get into the MSME space. Commercial banking, which focusses on emerging and mid-sized corporate clients, which includes multinationals, MSME clients as well as digital, new-age companies, and start-ups, is a large opportunity where we are trying to double our client base,” he says.

Meanwhile, start-ups and unicorns seem to be emerging as the new hotbed of competition with all the major foreign banks eyeing a slice of the lucrative market. Data from Tracxn shows that India has as many as 107 unicorns—the third-highest after the US and China—with 20 of those emerging in 2022.

Foreign banks are trying to partner with these ventures in every possible manner—cash management, M&A, payments processing and fundraising, among others. “The competition in the start-up space [for foreign banks] will remain huge. When a good company decides to tap the market, every bank will want to be associated with it. Though you will succeed only if you have a global reach, backed by extensive distribution capabilities,” says BofA’s Nakhate.

The year 2021 was a record one for IPOs with a cumulative ₹1.19 lakh crore being raised. The highlight of the year was the entry of digital majors—Zomato, Paytm, Nykaa, Policybazaar, EaseMyTrip—in the public markets, with each of these IPOs seeing multiple foreign banks being on the list of merchant bankers.

Capital market operations—investment banking, research, equity capital markets (ECM), institutional sales, debt capital markets (DCM), M&A and FPIs—are big focus areas for many large foreign banks. “We



BANK OF AMERICA

- ▶ India debut: 1964
- ▶ Size of balance sheet: ₹62,333 crore

KEY FOCUS AREAS:

- ▶ M&A
- ▶ Equity and research
- ▶ Start-ups
- ▶ Global transaction services

“Our strategy is clear—we want to be among the top three foreign banks in every business we have in the country. That’s the only way to remain relevant for clients”

KAKU NAKHATE
PRESIDENT & INDIA COUNTRY
HEAD, BANK OF AMERICA

facilitate around one-fourth of the total investments into equity and bonds markets each year. JPMorgan is a leader in the investment banking business in India across M&A, ECM and DCM. The global connectivity and industry knowledge that we bring to clients is unparalleled,” says Kalyan. For Citi, the capital market is a huge focus area as it commands a 30 per cent share of all FPI flows coming into India. “Last year, we were with every tech IPO. We have a big platform that we can leverage,” says Khullar.